

Wayfair and Carvana, which we see as logistics networks that are very difficult to build and which enable a consumer offering that is hard to compete with and improves (for both the consumer and for shareholders) with scale. Both of these founder-run businesses are investing heavily in providing consumers the largest selection and fastest delivery of two very basic products, home goods and used cars, which simply cannot be replicated by competitors outsourcing key functions to third parties. We learned to disaggregate and re-create income statements in order to unmask quantifiable growth investments. The goal was to understand underlying unit economics and figure out at what price and what growth rates we would be willing to purchase shares, while also understanding the sources of downside protection in the long term. Because the growth prospects had not yet turned into current cash flows, Ben Graham would call this speculation. We were (and still are) willing to bet that the winner-takes-most dynamics of shifts in the economy, such as those from large, fragmented, offline markets to online markets, will provide more than a commensurate return. This is particularly true for businesses that have a proven ability to operate profitably and are clearly choosing to reinvest current cash flows to meet customer demand.

In many ways, parts of our approach continue to evolve to reflect our own interpretation of Graham, such as when he writes that “investment is most intelligent when it is most businesslike.” Over the years, some of the people we look up to most have told us being a businessperson has made them a better investor, and being an investor has made them a better businessperson. We have really taken that to heart and tried to apply it to Graham’s observation.

In recent years, a number of wild cards have made investing more challenging, namely the Covid-19 pandemic and the government’s monetary and fiscal response, the war in Ukraine, and then the ensuing inflation and central bank tightening. It has become more difficult for